

Unit 4

Political Environment

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4.1 Introduction

In the previous unit we learnt about the Environment in which a business works. In this unit we will understand the Political Environment of business. We know that the Environment includes the sum total of geographical, historical, social, economical, cultural, political, psychological and ethical factors and forces that impact all aspects of human life and determine the future course of human civilization.

Business environment refers to the sum total of internal and external forces operating on an organization. The strengths and weaknesses of a business venture depend on the environmental factors in which it exists. An organization operates within the larger framework of the external environment that provides opportunities or poses threats to its existence and success. One of the most powerful forces that impact business is the political scenario in which it exists.

Political environment is a set of complex, ever shifting and interacting forces that exert a direct influence on business organizations. The framework of governmental economic ideology, policies, regulations and legislation as well as the Government's relationship with business organizations form a part of political business environment. Organizations must operate within the

norms, governing subsidies, tariffs, import quotas, license etc. as laid down by the government.

Therefore, it is necessary for organizations to understand the political conditions so that they can frame their strategies accordingly. Successful organizations constantly monitor the political environment so that they can adapt and respond to it for maximum profitability.

All businessmen must recognize the magnitude of the influence of the political forces, evaluate how they impact their business and plan what steps to take so that they do not cause adverse effects on the business. Changing political scenarios often bring about a shift in the economic ideologies and policies that can trigger off far reaching impact on business. Therefore, it becomes imperative that businessmen know how to identify, evaluate and react to these forces and factors as best as they can.

In this unit and subsequent units, you will understand what role the political environment plays in business, what role the state plays in the economic growth, how the provisions of the constitution of India influence business and what impact various governments have exerted on Indian economy.

Objectives:

After studying this unit, you should be able to:

- define a political system
- describe the various types of political systems
- demonstrate the impact of different types of political systems on Indian business
- categorize the status of business in the Directive principles of State policy in the Indian Constitution
- discuss the various types of risks associated with the political system in India

4.2 Political Environment and the Economic system

Political environment is one of the most powerful factors that impact the viability and sustenance of a business venture. The economic policies of the Government prevailing in the region where the business exists as well as the politico-economic scenario of the world at large have a bearing on commerce and business. Business today is not localized. Events and happenings in faraway places can also have a decisive impact on it.

Political environment consists of the type of government in power, the economic ideology and policies of the ruler or the ruling political party, the provisions of the constitution pertaining to business and economy, the rules and regulations governing commerce and business, the labour laws of the land and the policy of the government regarding business and economic relations with other nations. It includes all laws, government agencies, and lobbying groups that influence or restrict business organizations.

Dimock has rightly observed, 'The two most powerful institutions in society today are business and government; where they meet on common ground- amicably or otherwise- together they determine public policy, both foreign and domestic, for a nation.' Political compulsions quite often undermine economic development. Even a cursory observation of the different political systems like Marxism, socialism or capitalism highlights the difference in the influence these ideologies have on the economy, trade, industry and entrepreneurship of a region.

The political ideologies and the political influences on the form of economic system in a country are evident in the examples around us. The Marxist theories in the Soviet Union gave rise to the communist system. Similarly, the US adopted the free market approach and gave rise to the capitalist society. The underlying ideologies that determine the political system give rise to the economic system in place. This in turn affects the business relations and the business environment. For example in the capitalist economy, private ownership is the norm.

The growth, stagnation or decline of the economy of a nation is most often the outcome of the policies of the prevailing political system and its compulsions. The adoption of a socialist economic system by India after gaining independence led to the dominance of the public sector, the 'license raj' and a closed, protected market. It was only in the early 1990s that liberalism was ushered in by the Congress party under Shri P. V. Narasimha Rao.

The disintegration of the Soviet Union served as a signal to the world that communism and socialism were not the Utopian ideals they were thought to be. India also took its cue and a tentative beginning was made to open up the economy, to deregulate, privatize and liberalize the business scenario but it encountered many obstacles. The parties with leftist affiliation have

opposed the process of liberalization at every step with the result that the Government has often had to buckle under, on major economic issues.

There are divergent views about what role the government should play in the economic and business areas of a nation. One viewpoint is that the governmental role in business should be confined to laying down laws to ensure the smooth functioning of economy and business should be allowed to remain in the hands of the individual(s), while others believe that the Government should own and control every aspect of business. Between these extreme views ranging from Capitalism to Marxism lie other variants of governmental role in business. Whatever view one may hold, it cannot be denied that the Government does have a role to play.

Business organizations must operate within a framework laid down by the government in power. Even the most open and capitalist economies are governed by the laws laid down by the Government in power. The rules, regulation or deregulation and the laws in force along with the subsidies, tariffs and import export policies are all important factors that determine the planning and strategies of an organization. The major purpose of business legislation includes protection of companies from unfair competition, protection of consumers from unfair business practices and protection of the interests of society from unbridled business behavior. The legal environment becomes more complicated as organizations expand globally and face governmental structures quite different from those within their own country.

Most of the nations today are moving towards the open global economy. The global market is becoming a reality. That makes the States' regulatory role even more crucial. The Government's policy on foreign direct investment, import of technology and technical knowhow, industry and foreign trade and its fiscal policy all determine the business health of a nation.

Apart from the economic policies, political events also impact business. The Russian Revolution of 1917 and the establishment of Communism in the USSR impacted business and economy globally. Many countries (including India after it gained independence) gravitated towards some form of socialism as a Utopian ideal. The Great Depression of 1929 that devastated American and European economies also made it glaringly clear that the

government has to play a crucial role in keeping the vagaries of market economies in check even in capitalist economies.

The Second World War that brought many nations to the brink of economic ruin jolted the world and brought about a shift in the basic tenets of economic theory. It was widely agreed that a good economic policy must be based on the following three points:

- The need to provide welfare benefits to people who are deprived of regular income because of some reason or the other.
- The desirability of maintaining a judicious balance between public and private sector. (This implies that crucial sectors must be kept under Governmental control)
- The necessity to provide a macroeconomic environment which would ensure the growth of business, trade, commerce and economy of a nation.

It was the disintegration of USSR in the late 1990s that finally made many nations that had stuck to socialism despite its drawbacks, take a step back and start moving towards the open market economy. Privatization became the buzzword. The last two decades have seen an amazing shift in the global business growth. The hitherto protected economies like China and the socialist regulated economies like India have opened up and have become fast emerging major players on the global economic stage. Political environment thus is a major factor that determines the health of business enterprises in a nation.

Self Assessment Questions

State which of the following statements are true/ false:

1. Business environment refers to the external forces operating on an organization.
2. The two most powerful institutions in society today are business and government.
3. India started moving towards Liberalism in 1988.

4.3 Types of Political Systems

A political system can be defined as “a complete set of institutions, interest groups such as political parties, trade unions, lobby groups as well as the

relationship between those institutions and the political norms and rules that govern their functions. (Constitution, election law).

A political system is based on the ideology of the ruling government. The policies and the mode of administration of the government spring from that ideology. A political system impacts all aspects of life, be it economy, society or culture.

A State is a sovereign entity which occupies a well-defined territory and exercises its sovereignty through a political system that governs the people of the State through authoritative roles, rules, norms and laws.

The State, however, should not be confused with the government. Governments may effect massive changes in laws and rules while the State remains the same.

Therefore, the political system of a State must be distinguished from the State itself. A political system consists of the formal and informal structures which manifest the State's sovereignty over a territory and people. A State may have many different political systems over time. Political systems draw their policies through their ideologies. Therefore, these ideologies are known as 'statist'.

Political power is manifested by varied political systems as is apparent from the systems prevalent in the United States, Japan, France, China, India, Spain, and Jordan. These systems are different from one another in many ways, yet they all share some commonalities.

The following are the broad points of distinction among them:

- i) The open-closed characteristic:** This point of reference is used to distinguish political systems on the basis of the extent of the right of involvement of the people in the governing system. On this yardstick the systems range from liberal democracies or polyarchies on the one hand, and dictatorships, autocracies, or totalitarian systems on the other. An open system grants freedom of political opposition and competition for power whereas a closed system insulates authoritative rule from external interference and involvement.
- ii) The degree of political intervention in society:** The extent to which the government intervenes in such societal functions as religion, family, education, and private employment etc. At one end are ideal political

systems which exercise a limited regulative control over society, leaving the activities of groups largely free from political intervention. At the other end are political systems which leave no group immune from control by the State's political elite.

iii) The bases of the law norms: Some States adhere to laws and norms that are traditional, adhering to custom and consensual norms and mores while others lay them down to suit their political ideologies and compulsions. They may radically change the traditional laws to suit their goals.

iv) The interests and goals of the ruler: The interests of the ruling individual or groups can fall into three broad categories:

- i) Past oriented that aim to maintain traditions.
- ii) Present oriented that represent popular interests.
- iii) Future oriented that aim to reconstruct society.

Based on these characteristics the political systems can be classified into three pure types:

- i) **Liberal political systems:** These are open systems which grant almost complete autonomy to the people. Laws are based on the principles of constitutional directives and rights. The judiciary is empowered to ensure the implementation of these laws. The role and goals of the ruling elite are representational and derive their authority from the will of the people. They are driven by the popular interests and needs of the people insofar as they do not conflict with constitutional rights and principles such as sanctity of private property, freedom of religion, freedom of the press, and so on. Democracies like the United States of America and India belong to this group.
- ii) **Authoritarian political systems:** These are closed systems which allow authoritative political positions open to only a few by virtue of birth or other ascribed status, and are generally based on customary law. Groups are autonomous so long as they do not try to alter the traditional status quo. The system's goals are concerned with conserving traditions. Monarchies and dynastic rules come under this category. Fascism also fits into this slot.
- iii) **Totalitarian political systems:** These are also closed systems which permit customary or traditional laws only insofar as they do not interfere

with the elite's interests. Law is constructed as a measure to achieve some reconstruction of society and to satisfy the elite's future oriented goals. Individuals or groups have no autonomy. Dictatorship, despotism, communism fall in this category.

Most political systems are a mixture of these types. Some of these are typically exclusive e.g. Monarchy and Republic, while others may overlap in various combinations e.g. Democracy and Socialism. The economy of a nation is influenced and shaped by the prevailing political system. Free and open systems are more conducive to business than closed leftist systems.

Political spectrum

There are a wide range of different political systems or forms of government ranging from the extreme left to the extreme right. Each nation has its own unique form of government which operates on the basis of the constitution or basic laws it adopts from time to time. The system is rooted in the ideology of the ruling elite. Following are some of the major forms of political systems prevailing in the world:

Canada and the United States have a *representative democracy* based on checks and balances and the power to effect Constitutional change through consensus. The will and rights of the people is paramount. Such systems are suitable for open markets.

A number of political systems originated as *socio-economic movements*. The most widely known example of such a phenomenon is the communist movement. After independence, India adopted parts of both these philosophies and became a socialist democracy. These systems are restrictive in economic outlook.

Autocracy is the supreme, uncontrolled, unlimited authority exercised by a single individual. The autocrat has absolute power. Iraq under Hussein is a good example of dictatorship, as was Russia under Stalin.

A detailed list of various types of Political systems is given in Appendix 1.

Self Assessment Questions

4. A political system is based on the _____ of the ruling government.
5. A State is a _____ entity, which occupies a well-defined _____.
6. A State exercises its _____ through a _____ system that governs its people.

4.4 Indian Constitution and Business

India's economy draws its sustenance from the provisions of the Indian Constitution. The socio-economic objectives are clearly enshrined in the Preamble to the Constitution, Fundamental Rights and Directive Principles of State Policy. The Government has been given tremendous economic responsibility. The following are the salient provisions of the Constitution pertaining to business and economy:

- i) The economic powers of the Union Government and the State Governments are clearly laid down.
- ii) The people of India are assured social, economic, and political justice, liberty, equality of status and opportunity and fraternity.
- iii) By the amendment of 1976, India became a socialist state and adopted socialist pattern of economy.
- iv) There is scope for State intervention in the functioning of the economy.
- v) The people have been granted the following Fundamental Rights:
 - a) Right to Equality
 - b) Right to Freedom
 - c) Right against Exploitation
 - d) Cultural and Educational Rights
 - e) Right to Constitutional Remedies

The fundamental Right to Property was granted under Article 19(1) (f) and Article 31 prohibited the deprivation of property of any person save by authority of law. Both articles were deleted in 1976 vide 44th Amendment. However, Article 300 A of the new Chapter IV added to Part XII again provides that no person can be deprived of property save by authority of law. Thus, the right to property is no longer a fundamental right; it has been retained as a constitutional right.

- vi) The directive principles of State Policy are a unique feature of India's Constitution. These are directions to the Legislature and Executive that they should exercise their authority in accordance with these principles. The important Directives pertaining to economy are that the Government shall:
 - a) Promote the welfare of all the people by ensuring a just social economic and political order in all walks of national life.
 - b) Strive to minimize the inequalities of income.

- c) Strive to eliminate inequalities in status, facilities and opportunities not only among individuals but among groups as well.
- d) Secure adequate means of livelihood for all citizens.
- e) Ensure distribution of material resources for common good.
- f) Ensure equal pay for equal work for both men and women.
- g) The health and strength of workers, be it men, women or children are not abused.
- h) Provide equal opportunities to all citizens.
- i) Provide access to legal justice to all.
- j) Ensure right to work, education and public assistance within the limits of economic capacity.
- k) Provide for humane conditions of work and for maternity relief.
- l) Enact suitable laws to ensure the participation of workers in the management of business organizations.
- m) Article 301 grants freedom of trade, commerce and intercourse throughout the territory of India. However, the Government has also the power to restrict this freedom vide Articles 302 to 305.
- n) Make plans for inclusive economic development.

All these constitutional provisions combined with other stipulations govern how business is run in India. Over the last six decades India's economic policy has evolved to keep pace with the changing scenario of the world's economies. It started with socialism and has slowly moved into an open and liberal economic system that has helped to give a boost to Business and has made India a thriving market.

Self Assessment Questions

- 7. The fundamental Right to Property was granted under Article 19(1) (f). (True/ False)
- 8. The _____ of State Policy are directions to the Legislature and Executive that they should exercise their authority in accordance with these principles.
- 9. By the amendment of 1976, India became _____.

4.5 Changing Profile of Indian Economy

After independence, India's national leaders were faced with the task of adopting an independent economic policy. The Government embraced the

twin principles of socialist philosophy and political democracy as an ideal model for the emerging independent India. The economic policies from 1950 to 1970 were based on this model. The Government invested heavily in Steel plants, atomic energy, hydroelectric power and irrigation. India's foreign policy sprang from the non-aligned movement, and prevented it from becoming a satellite of any super power.

When India gained its independence in 1947, its economy lay in tatters. Centuries of colonialism and the aftermath of partition disrupted the already frail economic system. The economy had stagnated since the late nineteenth century, and industrial development had been restricted as it was dictated by the compulsions of British markets and manufacturers. Manufacturing was dominated by the jute and cotton textile industries to cater to British market demand.

After independence, India's new leaders sought to use the power of the State to direct economic growth and reduce widespread poverty. The public sector came to dominate heavy industry, transportation, and telecommunications. Even the private sector which produced most consumer goods was controlled directly by a variety of government regulations and financial institutions that provided major financing for large private-sector projects. Government imposed strict controls on imports and exports because it wanted India to become self-sufficient. Foreign trade was not encouraged. This policy resulted in steady economic growth in the 50s, but soon stagnation set in. The next two decades witnessed a slowdown in the economic growth. That made the successive Indian Governments to reduce State control of the economy.

The economy made a slow progress but it was not enough. In the late 1980's India relied on foreign borrowing to finance development plans to a greater extent than before. As a result, when the price of oil rose sharply in August 1990, the nation faced a balance of payments crisis. The need for emergency loans led the government to make a greater commitment to economic liberalization than it had up to this time.

In the early 1990s, the Indian policy makers were forced to rethink their policy of strong centralized planning, regulation and control of private enterprise, state ownership of many large units of production, trade protectionism, and strict limits on foreign capital.

Too much of protection from the Government had another disadvantage. Our quality standards were not in tune with international competition. It had produced more traders than industrialists. It was high time that the Indian economy became more open and entered the international market.

India embarked on a series of economic reforms in 1991 in reaction to a severe foreign exchange crisis. Those reforms included liberalized foreign investment and exchange regimes, significant reductions in tariffs and other trade barriers, reform and modernization of the financial sector, and significant adjustments in government monetary and fiscal policies.

The reform process has had some very beneficial effects on the Indian economy, including higher growth rates, lower inflation, and significant increases in foreign investment. Significant liberalization of its investment regime since 1991 has made India an attractive place for foreign direct investment.

In the recent past, India has witnessed changes in several critical sectors strengthening its economy. During the last couple of decades, India has opened its market to the world and has emerged as an open global market. Banking sector, Insurance sector and all fields of industrial and business sectors are now open to multinational investment.

India has a plural political system. With numerous political parties, national level and state level, it is very difficult to get a consensus among all parties for starting any business. Also these political parties have patronage of many factors, caste, creed and ideologies.

The status of Indian economy over the years classically demonstrates the far reaching business implications of the economic policies of the government.

Self Assessment Questions

10. India faced a balance of payments crisis in _____.
11. India embarked on a series of economic reforms in _____.
12. India has a _____ political system.

4.6 Business Risks Posed by the Indian Political System

India is the largest democracy in the world and can boast of a pluralistic political scenario. Unlike America which has only two dominant political

parties, India has a plethora of active political parties at the national as well as the regional levels. These parties with ideologies ranging from the extreme Left to the extreme Right have diverse political and economic agendas. At times the Government is unable to push through economic reforms because of political opposition as in the case of subsidies. The contradictions inherent in the political system in India can pose serious threats to the success of a business venture. Following are the major risks and hurdles that can threaten the viability of a business organization in India:

- i) Though the Indian economy has been opened up, yet the political ideologies of some parties pose serious hurdles to economic development. Tata's Nano experience is a telling example of how a major venture can be bogged down by narrow political compulsion.
- ii) Economic reforms have often been bogged down by high inflation. Inflation has emerged as a major challenge for policymakers, threatening to choke off growth in India's domestic demand-driven economy by eroding the purchasing power of consumers.
- iii) As inflation increases, banks have had to increase lending rates. Excessive rise in the cost of credit adversely impacts business expansion plans and slows down the economy.
- iv) Over the last decade or so India has been governed by a coalition political system at the centre as well as in many states. There are many pulls and pressures exerted by the various partners in a coalition. This can lead to instability of the government and can hinder economic thrust and thus have a negative impact on business.
- v) Political opposition can slow down economic reforms. The government has made headway in some areas: it has pledged to reform tax laws, sell stakes in some 60 State-run firms and formed an experts panel to ease foreign investment in the financial sector. But progress has been uneven.
- vi) Many economic policy proposals are shelved because of intense opposition such as opening up the country's multi-brand retail sector. It is a sensitive political issue that concerns the livelihoods of millions of people dependent on mostly unorganized retail. Many reform bills such as those to open up pension and insurance are with various parliamentary panels.

- vii) Threat levels in India have always posed a question mark for business in India. Political unrest in many parts of the country like Kashmir, Assam can destabilize the economy. The danger of militant attacks always looms large. However, markets have proven highly resilient to terrorism.
- viii) Business in India is unlike that of the west. With 23 official languages, India is more like a continent than a country. For example, Punjabis from Ludhiana in the north function very differently from Malayalis from Kochi in Kerala.
- ix) India's business methods are unlike those of China or Japan or other Asian countries. Its business culture is distinct from those of the rest of the continent.
- x) The political system has spawned a business culture that moves at snail's pace. Permits, license, ministerial approval etc., test one's patience. Redtapism can often deter businessmen from starting a venture. Few companies succeed without major setbacks in India.
- xi) Inadequate infrastructure is another deterrent. In many parts of the country the infrastructure available is so bad that an entrepreneur needs to be very determined to make his business a success.
- xii) Corruption in all walks of life has undermined many progressive plans. Many other risks are specific to the company, the industry, the location and the state of the competition.

Anyone wishing to start a business in India must consider all these potential risks and hurdles and plan how to overcome them.

Self Assessment Questions

State whether the following statements are true or false:

- 13. India offers a safe business scenario to entrepreneurs.
- 14. Doing business in India is a time friendly proposition.
- 15. Inadequate infrastructure is a major obstacle that business faces in India.

4.7 Summary

- The political business environment consists of governmental economic ideology, policies, regulations and legislations as well as the government's relationships with business organizations. Organizations

must operate within the norms governing subsidies, tariffs, import quotas, license etc. as laid down by the government.

- Political environment consists of the type of government in power, the economic ideology and policies of the ruler or the ruling political party, the provisions of the Constitution pertaining to business and economy, the rules and regulations governing commerce and business, the labour laws of the land and the policy of the government regarding business and economic relations with other nations.
- Political systems exercise power over the people of a State. There are three kinds of power balances: exchange, authoritative, and coercive.
- Political systems can be characterized as open or closed, as allowing or controlling group autonomy, as normatively based, or as past, present, or future oriented.
- These characteristics define a two-dimensional political space in which three types of political systems exist- libertarian systems, authoritarian systems, and totalitarian systems.
- India's economy draws its sustenance from the provisions of the Indian Constitution. The socio-economic objectives are clearly enshrined in the Preamble to the Constitution, Fundamental Rights and Directive Principles of State Policy.
- After independence, India embraced socialism as a political and social ideal. Initially, this system served the needs of the emerging nation but soon it became apparent that a closed, insular economy cannot really thrive in the fast emerging global economy.
- The volatile, pluralistic and at times coalition political system of India can be very unpredictable and frustrating in its economic policies.
- Therefore, it is imperative that businessmen understand the potential risks they may face while starting a business venture in India.

4.8 Glossary

- **Political environment:** The framework of governmental economic ideology, policies, regulations and legislation as well as the Government's relationship with business organizations form a part of political business environment.

- **A political system** can be defined as “a complete set of institutions, interest groups such as political parties, trade unions, lobby groups as well as the relationships between those institutions and the political norms and rules that govern their functions.
- **Liberal political systems:** These are open systems which grant almost complete autonomy to the people.
- **Authoritarian political systems:** These are closed systems which allow authoritative political positions open to only a few by virtue of birth or other ascribed status, and are generally based on customary law.
- **Totalitarian political systems:** These are also closed systems which permit customary or traditional laws only insofar as they do not interfere with the elite's interests.
- **Representative democracy** based on checks and balances and the power to effect Constitutional change through consensus.
- **Autocracy** is the supreme, uncontrolled, unlimited authority exercised by a single individual.
- **The directive principles of State Policy** are directions to the Legislature and Executive that they should exercise their authority in accordance with these principles.

4.9 Terminal Questions

1. Compare the impact that a democratic system and a communist system will exert on a business venture.
2. What are the risks involved in doing business in India.
3. List the major provisions of the Directive Principles of the State pertaining to economy and business.
4. Trace the evolution of Indian economy from 1947 onwards.

4.10 Answers

Self Assessment Questions

1. False
2. True
3. False ideology
4. Sovereign, territory.
5. sovereignty, political

6. False
7. True
8. Directive principles
9. A socialist economy
10. 1990
11. 1991
12. Plural
13. False
14. False
15. True

Terminal Questions:

1. Refer to Section 2.5
2. Refer to Section 2.7
3. Refer to Section 2.4
4. Refer to Section 2.5

Acknowledgements, References & Suggested Readings:

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Appendix 1

Forms of Political Systems

Autocracy / Dictatorship / Despotism: Autocracy is the supreme, uncontrolled, unlimited authority exercised by a single individual. The autocrat has absolute power. Iraq under Hussein is a good example of dictatorship, as was Russia under Stalin.

Communism: Communism is based on the ideology of equalizing the social conditions of life. It aims to abolish inequalities in the possession of wealth and property by distributing all wealth equally to all. The right to personal property does not exist. All material is held centrally by the State to be distributed by legislators. People do not enjoy freedom of expression.

Conservatism: This political philosophy adheres to traditional laws and advocates change only in moderation. Conservatism upholds the value of tradition, and seeks to preserve all that is good about the past.

Democracy: There are two major modes of democracy:

1. **Government by the people** is a form of government in which the supreme power is retained and directly exercised by the people.
2. **Government by popular representation** is a form of government in which the supreme power is retained by the people, but is indirectly exercised by a Constitutional representative government through a system of representation and delegated authority which is periodically renewed through elections.

Fascism: Fascism is characterized by a complete rejection of parliamentary democracy, the cultivation of military virtues and loyalty to a strong leader. Whereas in communism the individual is second to society, in fascism the individual is second to the State or race. It is virtually the same as National Socialism (Nazism).

Imperialism: The policy that aims at building and maintaining an empire, in which many States and peoples, spread over a wide geographical area, are controlled by one dominant State, is called imperialism. The British empire is a classic example of this system.

Monarchy: Monarchies are one of the oldest known political systems. They have their roots in tribal structure wherein one person was vested with absolute power over the tribe. It is the reign of a queen or king, empress or emperor who holds absolute or limited power, usually dynastic in nature. Under these conditions the state is similar to autocracy.

Pluralism: It is a political system in which no single group holds a dominant power position. Power is always shifting, and individuals can have influence on policy-making through being active in one of these power groups. Democracies in America and India are pluralistic in nature. Competing leadership groups such as business, labour, government can influence policy. This system is compatible with the democratic ideal as individual rights and interests are protected by a sort of extra-Constitutional checks and balances.

Plutocracy: Government by the wealthy or primarily influenced by the wealthy is called plutocracy. This system is against any principle of individual liberty. One of the criticisms of the US political system is that some wealthy people and organizations exert enormous influence **over political power**.

Socialism: Socialism is a political system in which the means of production, distribution and exchange are mostly owned by the State for redistribution of wealth among the people in a more equitable way. Socialism considers capitalism as intrinsically unfair, because it concentrates wealth in a few hands and does nothing to safeguard the overall welfare of the majority.

Theocracy: A State or government which is run by priests or clergy is called Theocracy. A recent example of a theocracy is Iran immediately after the overthrow of the Shah in 1979, when Ayotollah Khomeini gained power. Theocracies are common in many Islamic states.

Anarchism / Nihilism: Anarchism advocates the abolition of organized authority. Anarchists believe that all governments are corrupt and evil. Anarchism was a force in nineteenth century Russia, associated with Prince Peter Kropotkin (1842-1921) and Mikhail Bakunin (1814-76). Types of anarchism range from pacifism to violent revolution.

Classical Liberalism: Classical Liberalism stands for freedom from church and State authority and the reduction of the power of royalty and aristocracy, free enterprise economics, and the free development of the individual. Liberalism advocated freedom of the press, religious tolerance and self-determination for nations. It was liberalism that established parliamentary democracy.

Modern liberalism stands for something rather different than it did in the nineteenth century. Now it tends to mean more government rather than less and is characterized by a diluted socialism and/or populism.

Libertarianism: It is a philosophy that advocates freedom, particularly from any unnecessary restraints imposed by governmental authority. It is central to America: liberty is one of the inalienable rights described in the Constitution ("life, liberty, and the pursuit of happiness").

Objectivism: Although similar to libertarianism, objectivism is different because it is based upon a specific philosophy that supports individualism with reference to the nature of reality.

Capitalism: Contrary to popular belief capitalism is not a 'system' as such. It is the consequence of individual liberty and corresponding property rights (the right to own that which you create, or are born owning). Capitalism is often blamed for various inequalities.

Capitalism doesn't aim at equal ends because they do not occur where people are free to choose their own paths. Those better off do have more opportunities (not more freedom), but that in no way gives one person (or group) the right to rob them of these opportunities and give them to another.

The Republic: A republic is a political system whereby political power is explicitly granted with the consent of the people and ruled according to law. The purpose of the government is to protect the rights of the people and in fulfilling that purpose it derives its just power from the consent of the people. It is not a democracy, nor is it populism or pluralism. In fact, it is quite a strictly limited system where the people essentially delegate (note - delegate, not forfeit) the protection of their individual rights to a government of their choosing.